Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Seachange Bribie Island

Senior secured construction and investment facility of A$46.0M

Prepared for Seachange Living Pty Ltd
Prepared by Quillwood Credit Partners
23 May 2025, Version 1 (non-binding)
Reference: QCP-TS-2025-0523-SL
Date: 23 May 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Seachange Living Pty Ltd, ABN 40 987 804 650
Sponsor	Seachange Group Holdings Pty Ltd (Seachange Group)
Registered office	Suite 4, Level 1, 22 Benabrow Avenue, Bellara QLD 4507
Asset	Seachange Bribie Island, 118 Casuarina Way, Bellara QLD 4507
Directors	Margaret Gillespie (Non-executive Chair), Daniel Galbraith (Managing Director and CEO), Priya Gresham (Executive Director and CFO)
Date	23 May 2025
Status	Indicative only, non-binding, subject to credit approval

Transaction details

1. Important notice

This term sheet is an indicative outline only. It is not an offer or commitment to lend, and creates no legal obligation on Quillwood Credit Partners (the Lender) or the Borrower. Any facility is subject to credit approval, satisfactory due diligence, final documentation and the conditions below.

2. Transaction summary

The Borrower owns and is developing Seachange Bribie Island, a gated over-50s land lease community on a 17.8 hectare freehold site. The approved masterplan provides 210 homes in three stages and a 1,420 square metre clubhouse. Stage 1 (84 homes) is complete, with 82 homes settled and occupied and occupancy at 97.6% in April 2025. Stage 2 (72 homes) is under construction and Stage 3 (54 homes) has civil works underway.

3. Facility terms

Facility	Senior secured construction and investment facility (hybrid)
Limit	A$46.0M
Tenor	36 months from first drawdown
Interest	1M BBSW plus 6.00% per annum on drawn amounts
Upfront fee	1.75% of the limit (A$0.805M)
Line fee	1.00% per annum on the undrawn commitment
Interest and fees	Capitalised within the limit, up to approximately A$1.8M

Key commercial terms

Use of funds	A$M
Refinance existing bank debt	19.6
Stage 2 and Stage 3 construction and infrastructure	24.6
Capitalised interest and fees	1.8
Total facility	**46.0**

Sources and uses

4. Security

- First registered mortgage over the freehold land at Bellara.
- General security agreement over all present and after-acquired property of the Borrower.
- Assignment of the head construction contract with Bayside Civil and Build Pty Ltd, consultant reports and site fee income.

- Guarantee and sponsor support from Seachange Group, to be sized in due diligence.

5. Underwriting basis

We have sized the facility on the independent valuation (Harcourt Brennan Valuers, 4 April 2025) and QS report (Lindqvist Rowe, 14 April 2025), not the information memorandum of 3 March 2025. The sponsor figures are more optimistic than both reports.

Metric	IM	Independent
GRV (A$M)	114.5	106.1
Total development cost (A$M)	76.9	81.3
Weekly site fee (A$)	172	155

Information memorandum versus independent figures

On independent figures, the as-is value is A$58.4M (land A$24.0M), the facility limit represents 43.4% of GRV and 56.6% of TDC, and cost to complete is A$38.2M. GRV covers home sale proceeds only. FY2024 revenue was A$36.3M and EBITDA A$6.4M. Net debt at 31 December 2024 was A$17.9M, or 2.8 times EBITDA.

6. Conditions precedent

- Credit approval and satisfactory legal, tax and insurance due diligence.
- Reliance on the valuation and QS report, with updated valuation if drawdown is delayed beyond 90 days.
- Executed contracts confirming 49 presales over Stages 2 and 3 (38.9%), with no weakening in pricing or deposit terms.
- Fixed-price or capped-price contract arrangements for the remaining Stage 2 and Stage 3 works, to be agreed.
- Payout of existing bank debt and release of existing security.
- Evidence of insurance, including construction works, public liability and storm tide cover.

7. Indicative covenants

- Loan to GRV not above 50.0%, tested quarterly on the independent valuation basis.
- Presales across Stages 2 and 3 to reach a minimum level, to be set at credit approval, before Stage 3 building draws.
- Net sale proceeds from home settlements applied to facility reduction, at a rate to be agreed.
- Monthly reporting of sales, construction progress and site fee arrears, with quarterly management accounts and audited annual accounts.
- Sponsor to maintain liquidity to fund cost overruns and any shortfall.

8. Next steps

Acceptance of this indicative term sheet allows Quillwood Credit Partners to begin formal due diligence. Pricing and terms may change following credit approval.

Prepared by	Quillwood Credit Partners
Acknowledged for the Borrower	Name, title, signature and date to be completed

Sign-off